

26STCV02585 26STCV02585

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Case Number: 26STCV02585 Hearing Date: August 24, 2026 Dept: 517

Plaintiffs Nabil Abdou ("Abdou") and MP Solutions

Inc. ("MP") (collectively, "Plaintiffs") sued Defendants Simulator Product

Solutions, LLC ("SPS") and Orbit International Corp. ("Orbit") (collectively,

"Defendants") in the Superior Court of California in Los Angeles County in

January 2026. The root of Plaintiffs' California

action is a transaction in which Orbit purchased the assets of MP, which was Abdou's

company, and transferred them to SPS. As

part of the transaction, Abdou was made the President of SPS. The majority of the Plaintiffs' claims arise

from two contracts: (1) an Employment Agreement between Abdou and SPS; and (2)

a Working Capital Settlement Agreement between the Plaintiffs and Defendants. Pending before this Court is Defendants' motion

to stay the California action pending resolution of an action in Delaware that

MP brought against the Defendants in December 2024 and that is scheduled to go

to trial in April 2027. According to the

Defendants, the issues in the Delaware action overlap with those in the

California action and it thus would be efficient and convenient to stay the

California action in favor of the Delaware action.

The Court is denying the Defendants' motion. The following considerations have informed the Court's decision.

First, while MP, Orbit, and SPS are parties to the

Delaware action, Abdou is not.

Second, none of the claims in Delaware action are based

on the Employment Agreement between Abdou and SPS, which is the foundation for

two of the claims in the California action.

Third, the Employment Agreement has a forum selection clause that specifies that litigation of disputes arising from the Agreement shall take place in either California state courts or in the federal district court for the Central District of California. California generally favors the enforceability of forum selection clauses. (*EpicentRx, Inc. v. Superior Court* (2025) 18 Cal.5th 58, 74.) Defendants bear the burden to demonstrate that the clause should not be given effect.

(*Id.* at p. 76.) They have not met that burden. Yes, MP filed the Delaware action before MP and Abdou filed the California action and there is some overlap between the two actions. But neither of these facts compels the Court to conclude that the California action should be stayed at this time in favor of the Delaware action.

Fourth, none of the claims in the Delaware arise from the Working Capital Settlement Agreement, which is the foundation for three of the claims in the California action.

Fifth, aside from the claims under the Employment Agreement and Working Capital Settlement, Abdou asserts in the California action three other claims that are personal to him -- claims for defamation, intentional infliction of emotional distress, and failure to pay wages in violation of the California Labor Code -- that MP cannot assert in the Delaware action.

Defendants shall file a response to the Plaintiffs' Complaint within 21 days of this order. The case management conference that is on calendar today is continued to December 2, 2026 at 8:30 a.m.